IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(SPECIAL ORIGINAL JURISDICTION)

Writ Petition No. 6154 of 2022

IN THE MATTER OF:
An application under Article 102 of the Constitution of the People's Republic of Bangladesh.

AND
IN THE MATTER OF:

Kohinoor Chemical Company Bangladesh Limited
….Petitioner

Versus

Dhaka North City Corporation, represented by its Mayor, Nagar Bhaban, Gulshan Central Road, Plot No. 23-26, Road No. 46, Gulshan-2, Dhaka-1212 and others
….Respondents

Mr. A.F. Hassan Ariff, Senior Advocate with
Mr. Md. Ashik Al Jalil, Advocate
….For the Petitioner

Mr. Mejbahur Rahman, Advocate with
Ms. Sayeda Silma Tamanina, Advocate
….For the Respondent No. 3

Present:
Mr. Justice Md. Iqbal Kabir
And
Mr. Justice S.M. Maniruzzaman

Judgment on 13.08.2023.

Md. Iqbal Kabir, J:

By this application, the petitioner challenged the legality of the notice dated 16.02.2022 (Annexure-B) issued by respondent No. 3 re-fixing the quarterly holding tax of the writ petitioner's commercial property at Tk. 14,70,165/- (Taka Fourteen Lac, Seventy Thousand, One hundred and Sixty-Five only) upon assessing the present valuation of the property at 4,90,05,500/- (Taka Four Crore Ninety Lac Five Thousand and Five Hundred only) and also challenged the legality of Memo No. 46.10.0000.099.67.2022-58 dated 28.04.2022 issued by respondent No. 4 (Annexure-D) demanding Tk. 3,96,07,370/- (Taka Three Crore, Ninety Six Lac, Seven Thousand, Three hundred and Seventy only) as arrears holding tax amount payable for the period from 2nd installment of the year 2016-2017 to 4th installment of the year 2021-2022 on the basis of assessment of the valuation of the petitioner's property at 4,90,05,500/- (Four crore Ninety Lac Five Thousand and Five Hundred only).

The case of the petitioner as set out in the writ petition, is short, are that the petitioner Kohinoor Chemical Company Bangladesh Limited (in short KCCL) is the oldest and largest national Soap, Cosmetics, and Toiletries manufacturer and marketer of Bangladesh started its business in the year 1956. After the independence of Bangladesh, KCCL became a fully government-owned company under the direct control of Bangladesh Chemical Industries Corporation up to May, 1988. KCCL was acquired by the present entrepreneurs in August, 1993 as part of the government privatization policy. The management of KCCL subsequently completed an arduous BMRE program with the technical collaboration of a reputed industrial conglomerate in Europe. Since then, the company accelerated its journey towards perfection, overcoming all hurdles with wisdom, dedication, hard work, and honesty of the entrepreneurs and employees. The Dhaka North City Corporation (in short DNCC) after scrutiny of the documents in the year 2013 re-fixed the valuation of the land and buildings of the petitioner in question and also fixed the holding tax at Tk. 80.733.00. The petitioner paid the said tax regularly up to 2021-2022. However, respondent No. 3 again re-fixed the valuation of the petitioner's holding at Tk. 4,90,05,500.00 unilaterally and behind the back of the petitioner and fixed Holding Tax at Tk. 14,70,165.00 enhancing from Tk. 80,733.00 without serving any prior notice giving the opportunity of participatory fixation as per law and without giving any reason for such unilateral arbitrary enhancement. Respondent No. 3 by a demand notice dated 16.02.2022 asking for such holding tax in enhanced rate with retrospective effect from the 2nd installment of 2016-2017. The petitioner made representation to respondent No. 1 by letter dated 28.02.2022 stating inter-alia that authority re-fixed the valuation with retrospective effect, thus, he will suffer for unlawful unilateral enhancement of such holding Tax. Petitioner requested to re-fix the valuation under the law; in response to such representation, respondent No. 4 by letter dated 28.04.2022 informed that there is no scope in law to consider the application. Therefore, directed the petitioner to make payment of Tk. 3,96,07,370.00 within 7(seven) days.

Being aggrieved by and dissatisfied with the impugned order the petitioner brought this application before this Court and obtained the instant Rule Nisi.

Mr. A.F. Hassan Ariff, the learned Senior Advocate with Mr. Md. Ashik Al Jalil, the learned Advocate appearing on behalf of the petitioner, while the same is opposed by Mr. Mejbahur Rahman, the learned Advocate appearing along with Ms. Sayeda Silma Tamanina, the learned Advocate for the respondent No. 3.

Mr. A.F. Hassan Ariff, the learned Senior Advocate appearing in support of the Rule submits that the respondent Nos. 1-4 have a statutory obligation to issue a notice providing an opportunity for the petitioner to be heard before revaluation and assessment for increased holding tax in a participatory manner, but in the instant case, the respondents have failed to comply with the said statutory obligation as such the impugned demand notices (Annexures-B and D) are without lawful authority and is of no legal effect being issued by the respondents based on unilateral assessment made in violation of the principle of natural justice incorporated in rule 26 and 27 of the Municipal Taxation Rules, 1986.

He submits that issuance of prior notice to the petitioner affording opportunity of hearing is a sine-qua-non for revaluation, determination, and imposition of higher holding tax as per section 90 of the Local Government (City Corporation Act, 2009 read with rule 26 of the Municipal Corporation Taxation Rules, 1986), as such the impugned demand notices are without jurisdiction being issued by the respondents based on unilateral assessment in violation of the maxim "Audi Alteram Parterm" applies to judicial as well as administrative bodies, especially where the proceedings taken may affect the person or property or other rights of the parties concerned in the dispute.

He also submits that respondent No. 3 without application of judicial mind made the revaluation and assessment of the higher holding tax of the petitioner unilaterally and made the demand by the impugned notice dated 16.02.2022 with retrospective effect from 2016-2017, which is not permitted by law and thus, the demand is without lawful authority and is of no legal effect.

He finally submits that the impugned proceeding is violative of the fundamental rights of the petitioner under Article 42 of the Constitution as such the same is wholly without jurisdiction and without lawful authority. The unilateral revaluation of property on the holding and re-fixation of holding tax affect the petitioner's fundamental rights to hold/enjoy property. The increased holding tax creates obstruction which deprives the petitioner's right to enjoyment of the property. According to him the notices are not ceremonial or futile formalities to be taken lightly. Therefore, unilateral revaluation and re-fixation are without lawful authority and have no legal effect i.e., a nullity.

Respondent No. 3 by filing an affidavit-in-opposition denied the material assertion made in the application and contested the Rule.

Mr. Mejbahur Rahman, the learned Advocate for the respondent No. 3 submits that this application is not maintainable in law as there is an alternative and equally efficacious remedy available in law. The petitioner, by way of this writ petition, is seeking to deliberately evade payment of holding tax and thereby trying to depriving the respondents of its due revenue.

According to him DNCC notified the petitioner by notice under the Law and Rule 26(2) twice as to the proposed alteration; DNCC also gave a notice period for a hearing on which the petitioner failed to appear; then completed site investigation with the presence of the petitioner's representative and after giving ample opportunity given to the petitioner finally notice of altered assessment has made. The petitioner disregarding the alternative and equally efficacious remedy available under Rule 7 of the Rules, files the instant application.

He submits that the petitioner rather willfully failed to appear for a hearing on the given date. However, the petitioner had due knowledge of the memo dated 27.08.2019 as it replied in light of the said memo, and submitted the ownership-related documents of said holding.

In response, it has claimed that the respondent never served any proper legal valid notice upon the petitioner. The notice dated 27.08.2019 as mentioned in the affidavit-in-opposition (Annexure-5) and the next one dated 15.12.2021 (Annexuere-7) to the supplementary affidavit-in-opposition both are not notice under the eye of the law. However, the respondent has acquiesced and foregone the first notice (Annexure-5) for its apparent infirmity. As regards the second notice (Annexure-7) the same also is not a notice in the eye of the law, because it does not comply with the legal conformity on two counts. Firstly, the notice was shown to have been served by the respondent and received by an unidentified person affixing a signature and mentioning a mobile phone number, without a mandatory National Identity number, who is not an employee of the petitioner. According to him, notice has to be served upon the assessed i.e., the company incorporated under the Companies Act, as it has incorporated under the Companies Act. The notice has to be served upon the person of the company who legally represents the company. The consequence therefore is that the notice has not been served upon the petitioner an incorporated company. Secondly, the notice under section 26(2) of the Rules, 1986, must be served giving at least one month time. But in the instant case, the purported notice had been served giving three days to appear in the hearing, which is a gross violation of the provision of law, as such the said notice is not a notice under rule 26(2) of the rules, 1986 and thus the unilateral determination of holding tax has no legs to stand being violative of principles of natural justice and infringement of procedure.

Mr. Mejbahur Rahman in reply submits that there has been no violation of the principles of natural justice, whatsoever, as wrongly contended by the petitioner. The petitioner was given due notice(s) and thereby, given the opportunity of being heard. According to him it is a misleading contention of the petitioner the rule 26(2) does not provide for a 30(thirty) days' notice period for the hearing. Rather the Rule prescribes a minimum 30 (thirty) days notice period for any alteration that the city corporation proposes to make in this case and Rule 26(1)(d) and thereafter, notice of alteration which the City Corporation proposes to make/polish under Rule 24(2) of the Rules. Hence, the 30(thirty) days prescribed period is the date from which the Rule 26(2) notice is issued till the date on which the Rule 24(2) notice is published. Indeed, there is a requirement for hearing but no minimum days have been prescribed by the Rules for determining the notice period for the date of the hearing. Rule 26(2) only requires a notification of the date on which the party is to be heard without any prescribed time frame.

He claims that Rule 26(3) which makes Rule 7 applicable mutatis mutandis to Rule 26(2). As per Rule 7(6), "an Assessment Review board shall give notice to the applicant mentioning the time and place at which his application shall be heard following certain procedure and if the applicant or agent does not appear on the date so fixed; the Board shall pass the order ex-parte".

At this juncture, it appears that DNCC's notice under Rule 26(2) was issued on 27.08.2019; then the process restarted on 15.12.2021 again through a notice issued under the Rule 26(2). Although the date of hearing in the 1st notice was erroneous due to clerical/typographical error the notice dated 15.12.2021 gave a clear 7(seven) days for hearing. However, once again petitioner failed to appear for a hearing on the given date. Thus authority counting it as a failure to appear for hearing, and thereafter, conducting site investigation published final notice dated 16.02.2022 (Annexure B) of assessment under Rule 24(2) i.e., exactly 2(two) months after the notice dated 15.12.2021. In this context, it has been claimed that there were no technical or legal inaccuracies, and due notice of a minimum of 30 (thirty) days was given for assessment as required by law along with notification of the date of hearing in each notice. Further, it transpired in line with the Nayabadi report that indeed there were numerous physical changes in the holding including constructing/ altering/ expanding new building structures resulting in an increase in the valuation of the land which empowers the DNCC to amend/alter the list by re-valuing/ re-assessing the land at the holding as per Rule 26 (d) of Rules.

Mr. Md. Ashik Al Jalil claims that the decision passed by our Apex Court in Civil Petition No. 2344 of 2018 and another judgment reported in 8 ADC, page 578 (582, para 7) regarding 'alternative remedy' and 'maintainability of writ petition' are in a different set of facts and law and as such, the aforesaid judgments are not applicable in the context and the admitted facts of the instant writ petition.

According to him respondent No. 3 admits by issuing notice dated 27.08.2019 that the petitioner was entitled to notice and personal hearing under rule 26(2) of the Rules, 1986, during revaluation, reassessment for determination of increased holding tax under rule 26(1) (d) read with section 90(2) of the Act, 2009, (City Corporation Act, 2009), and in compliance thereof the respondent No. 3 issued the said notice dated 27.08.2019 upon the petitioner to submit necessary documents and to appear on 02-08-2019 before the concerned officer for a personal hearing, which was not 1(one) month's notice under rule 26(2). It is also apparent on the face that the date of hearing was mentioned in the notice which was before the date of issuance of the said notice. So, at worst the alleged 'notice' was mere information of past official events. However, during the hearing respondents claimed that the date as mentioned in the said notice was a "human error" and the intended date was 02.09.2019. However, no corrected notice to that effect was ever issued. Neither there is any assertion to that effect; if the said contention of respondent No. 3 is accepted for argument's sake which is also not sufficient to cure the fundamental defect of notice. Because the rule 26.2 provides to issue at least 1(one) month prior notice for hearing and effective representation but in the instant case respondent No. 3 has hopelessly failed to produce any such notice nor are they able to preset any piece of paper regarding participatory proceeding for determination of increased holding tax under rule 26 read with section 90(2), except the verbal claim regarding the date of hearing. The initial unilateral determination of holding tax is thus without jurisdiction and unlawful as such the alternative remedy under the law is not attracted in the instant case because re-fixation is not within law, rather determination process of increased holding tax under the impugned demand notice is amendable to judicial review.

In support of his submissions with regards to maintainability cited a decision, and alleged at the time of deciding an identical issue this Court passed a judgment in Writ Petition No. 1246 of 2015 wherein observed that:

> "the City Corporation, neither gave the petitioner any notice nor any opportunity of being heard before revaluation of the building of the petitioner and amendment of the assessment list by increasing the assessment on the building which is against statutory obligation on the part of the Corporation and thus against the principle of natural justice and as such, said action is without jurisdiction. Accordingly, the impugned notices containing direct demands to the petitioner made by the City Corporation have been issued without any lawful authority. Since the impugned actions are without jurisdiction this Court is well within its jurisdiction to interfere the same in this writ petition under review jurisdiction. Accordingly, this writ petition is maintainable."

However, it is noted that in compliance with the aforesaid rules, DNCC notified the Petitioner by notice under Rule 26(2) twice as to the proposed alteration; DNCC also gave a notice period for hearing on which the petitioner failed to appear; then completed site investigation with presence of the petitioner's representative and after giving ample opportunity given to the petitioner final notice of altered assessment. Nonetheless, disregarding the alternate and equally efficacious remedy available under Rule 7 of the Rules, the writ petitioner files the instant writ petition in complete defiance of the law. It appears context of law is something different from the argument made by the petitioner, in this Context this Court examined the relevant provision of law. For our better understanding section 88 of the Local Government (City Corporation) Act, 2009 (in short the Act) states:

> "৮৮। কর নিরুপনের বিরুদ্ধে আপত্তি।-এই আইনের অধীনে ধার্য কোন কর, উপ-কর, রেইট, টোল বা ফিস বা এতদ্‌সংক্রান্ত কোন সম্পত্তির মূল্যায়ন অথবা কোন ব্যক্তি কর্তৃক উহা প্রদানের দায়িত্ব সম্পর্কে কোন আপত্তি নির্ধারিত কর্তৃপক্ষের নিকট এবং নির্ধারিত পদ্ধতিতে উত্থাপন করিতে হইবে।"

From the above quoted section it appears that, if anyone has a dispute regarding any tax, rate, fees, etc., he has to follow the prescribed proceeding as per law to submit his petition. Therefore, the proper jurisdiction to deal with the instant matter is the appeal forum readily available under Rule 7 of the Municipal Corporations (Taxation) Rules, 1986 (in short the Rules), which provides as follows:

7. Petition against valuation, assessment, etc.-

> "Any person who has been assessed to a tax (emphasis added), rate, assess, toll or fee under the Ordinance may object to the valuation or assessment therefore, or his liability to be so taxed, by a petition 6 [in form P] presented to the City Corporation within thirty days from the date of receipt of notice of such assessment."

Further, Rule 7(8) provides that:

> (8) "The decision of the majority of the members present shall be the decision of the Assessment Review Board Concerned and shall be final and the decision of the Board shall be communicated to the applicant by the City Corporation."

Even after filing a Petition under Rule 7 (1) against the assessment of tax and after the decision of the Review Board, another Appellate forum is available under Rule 7(13) of the Rules, 1986 which provides as follows:

> “(13) Any person aggrieved by an order made under sub-rule (8) may within sixty days from the date of receipt of the order, prefer an appeal to the Divisional Commissioner within whose jurisdiction the Municipal Corporation is situated by depositing 75% percent of the tax as decided by the Assessment Review Board with the Municipal Corporation; and the decision of the Divisional Commissioner on such appeal shall be final."

The above law and Rules gave a forum to agitate grievances, despite the forum pursuant to Rule 7(1) of the Rules, the petitioner filed an application dated 28.02.2012 (Annexure-C), instead of form P, requesting to re-assess the holding tax taking retrospective effect into account. However, by a letter dated 28.04.2022, respondent No. 4 informed that the application filed by the petitioner cannot be accepted under the law.

Mr. Mejbahur Rahman in support of his contention relied on a decision passed in Civil Petition for Leave to Appeal No. 2544 of 2018, wherein our Apex Court observed that:

> "The present petitioner in this leave petition raised the question of maintainability of the writ petitioner as the writ petitioner did not prefer any appeal, as required under rule 7(13) of the Municipal Corporation (Taxation) Rules 1986, to the Divisional Commissioner against the re-assessment order made by the Review Board. Admittedly the writ petitioner did not file any such appeal as provided in the aforesaid Rules rather it filed the above-noted writ petition challenging the re-assessment as well as the final demand.
> …
>
> “From a reading of rule 7(13) it appears that any person aggrieved by an order made under Rule 7(8) shall have to file an appeal to the Divisional Commissioner upon depositing 75% of the tax as decided by the Review Board who shall dispose of the same and give decision within 120 working days from the date of filing of the appeal and the decision of the Divisional Commissioner shall be final. This statutory remedy is not only an alternative remedy but also efficacious as a time limit has been fixed for disposal of the appeal."

Our Apex Court further went on to state that,

> "…considering the above position, as revealed, it appears that the writ petitioner did not avail the opportunity of moving the Divisional Commissioner in Review under rule 7(13) upon depositing 75% of the demanded amount, which is of course an alternative efficacious remedy available..."
>
> Accordingly, we hold that the High Court Division erred in law in making the Rule Nisi absolute and giving directions. Thus we find merit in this civil petition and, as such, the judgment and order complained of herein is liable to be set aside."

Knowing the above cited decision, it appears to us that the cited decision passed in writ petition No. 1246 of 2015 is distinguishable from the instant writ petition. There were no notices whatsoever given to the petitioner in writ petition No. 1246 of 2015 which is not the scenario in the instant case as notice was served upon the petitioner twice. This is not a case of unilateral determination of reassessed/amended holding tax in violation of the principle of natural justice, unlike the cited decision by the petitioner. Thus cited decision is not applicable to the instant issues under determination.

From the above discussions, it appears that the principle of natural justice has not been violated either by any violation of the Rules, 1986; or the Local Government (City Corporation) Act, 2009. Further, under the law and rules there is a forum to agitate his grievances, petitioner without availing such opportunity as prescribed in law having alternative remedy, unjustly filed the instant writ petition to agitate his grievances in the name of violation of natural justice.

In light of the above, we are of the view this writ petition is not maintainable.

Accordingly, the Rule Nisi is discharged.

There will be no order as to cost.

Communicate the order.

S.M. Maniruzzaman, J:

I agree.